

22CV46224 - LAWRENCE J. SARKIS

Plaintiff/Cross-Defendant

v.

ANGELS GUN CLUB; DAVID VERHALEN

Defendants/Cross-Complainants

**PLAINTIFF'S MOTION TO COMPEL INSPECTION AND
FOR MONETARY SANCTIONS**

TENTATIVE RULING

This matter arises from a dispute over the operation of a gun club and related settlement agreement between Plaintiff/Cross-Defendant Lawrence J. Sarkis ("Plaintiff") and Angels Gun Club ("AGC") and David Verhalen ("Verhalen") (collectively "Defendants.")

Now before the Court is Plaintiff's motion to compel further responses to demand for inspection. As set forth below, the motion is granted, subject to the specifics of this Order.

I. Background Facts

On or around May 21, 2014, Plaintiff filed a complaint against AGC, seeking relief for Plaintiff's suspension and eventual expulsion from AGC for being a whistleblower. (FAC ¶ 7.) On or around September 19, 2014, Plaintiff filed a derivative action seeking relief for his claims that certain individuals mismanaged AGC, violated the law, and breached their fiduciary duties (collectively referred to herein as the "Previous Actions") (*Ibid.*)

In December 2021, Plaintiff entered into the Agreement with AGC, David Richards ("Richards"), Kathleen Bachelor, and each of AGC's then acting board members to settle the Previous Actions. Pursuant to that Agreement, AGC paid Plaintiff damages, agreed to retain an new Certified Public Accountant, was to direct the new CPA to audit AGC's sales tax payments from 2015 through 2020 and provide verification of the audit and its findings to Plaintiff, and "for five (5) years, AGC is required to provide copies of the annual profit & loss statements, annual revenue reports, and annual expense reports to David Richards upon written request." (FAC ¶ 8, Ex. A.)

On October 17, 2023, Plaintiff filed a First Amended Complaint ("FAC") in this matter alleging claims for breach of contract, false promise, negligent and intentional misrepresentation and breach of the implied covenant of good faith and fair dealing. Central to Plaintiff's causes of action is his allegation that the Agreement requires AGC